

costs, allowing larger players to acquire these assets at reasonable prices,” says Srimal of Axis Securities.

The smaller players don't always have the best cost structure, leading to margin pressure. Centrum's Bhadang thinks a plant has to be at least 3 mtpa to make economic sense. “UltraTech and Ambuja will command a premium; the others typically sell at a discount. If the large players drive down costs, it can be very challenging for the smaller ones,” he says.

Ambuja has been working hard on its cost structure. The focus has been on reducing operating costs (one of the issues plaguing Holcim) with a stated ambition of reducing it by another ₹530 per tonne by FY28. Among the more important steps taken include investments in energy (1 GW of solar and wind power with over 300 MW of waste heat recovery system to power 60% of the expanded capacity is the plan). It is also reducing logistics costs. One initiative is a 50 km reduction in lead distance or distance from a plant to the market, which could save ₹100-150 per tonne. Other steps include long-term agreements to procure fly ash from the group's power plants and making the most of group synergies such as supplying to captive projects (the upcoming Navi Mumbai airport is one), using the port infrastructure to target coastal markets and moving talent within the group.

For UltraTech too, logistics is a key cost component. At the earnings call for the Q1 numbers for the current fiscal, the management spoke of the increased network of plants and a further reduction in the lead distance—it has already been cut from 400 km to 385 km, saving close to ₹45 per tonne of cement. Jhanwar told *BT* earlier, “There is a sharp focus on our supply chain management, specifically logistics operations. We must continue to optimise costs and ensure improved customer response time.”

The exit of Holcim leaves the cement landscape dominated by the local players. The only multinationals of consequence are Heidelberg (primarily through Zuari



“Though UltraTech’s capacity is twice as much as that of Ambuja-ACC, there is an increased aggression in M&A demand for players with healthy capacities”

CHANDRESH RUPAREL

MANAGING DIRECTOR AND INDIA HEAD, ROTHSCHILD & CO



“UltraTech leveraged its balance sheet smartly to use it for strategic acquisitions. Some of the assets bought were old, and money was put in where needed”

MANGESH BHADANG

SENIOR VP (RESEARCH), CENTRUM BROKING

40 |

TO EXPAND CAPACITY, ULTRATECH CEMENT AND AMBUJA CEMENTS ARE EXPECTED TO SPEND OVER ₹1 LAKH CRORE BETWEEN THEM

and Mysore Cements) and Vicat's majority holding in Bharathi Cement.

Cement is an industry with a long gestation, requiring patience, and has a cyclical nature. This makes managing costs and resources that much more critical. The race between UltraTech and Ambuja will move even more towards strategic expansion as more assets come up for grabs and they grow organically. **BT**

@krishnagopalan